meetings and indeed at several other international policy forums and conferences, I am not certain if even the Chinese authorities are clear about whether they want to position the yuan as an alternative global reserve currency. This is not to say anything about their active efforts over the last several years to internationalize the yuan, which the Chinese saw as a project quite distinct from positioning it as a reserve currency.

The results of this internationalization effort are clearly evident. The yuan is today second only to the dollar in its use in international trade and finance. Yuan deposits outside China have multiplied more than tenfold in the last five years. Every year, there are dozens of issuances of dim-sum—yuan-denominated—bonds outside China.

What is also clear is that China has set a lot in store by way of the IMF, including the yuan in the SDR basket, along with the dollar, euro, sterling and yen. In November 2015, it achieved that aspiration when the IMF determined that the yuan met its qualifying criterion of being ‘widely used and freely usable’, and made it part of the SDR basket.

Opinion is divided on the significance of this imprimatur of respectability for the yuan from the IMF, an institution with which China has often had a testy relationship. One view is that this is only of symbolic value as the SDR is no more than an accounting device; it is neither a true currency nor a claim even on the IMF. True, central banks do hold SDRs, but they still have to convert them back into the constituent currencies if they want to use them for intervention purposes. Moreover, being in the SDR basket is neither a necessary nor a sufficient condition for a currency to be widely held in official reserves.

Ranged against this is the view that being part of the SDR basket may make central banks around the world more open to add yuan to their coffers. This could be significant. Excluding China’s own pile, global foreign exchange reserves are about $7.8 trillion. Shifting, say, even 10 per cent of this into yuan over the next five years would require central banks to spend about $150 billion a year on bonds and other assets denominated in the yuan. That could mean a significant expansion of the internationalization of the yuan.